

24VECV04700 24VECV04700

County: los-angeles
Division: Civil Law and Motion
Department: I
Hearing date: 2026-07-22
Motion: MOTION TO DISMISS ON GOUNDS OF FORUM NON CONVENIENS
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Case Number: 24VECV04700 Hearing Date: July 22, 2026 Dept: I

SUPERIOR
COURT OF THE STATE OF CALIFORNIA

COUNTY
OF LOS ANGELES

FIRST DATA MERCHANT SERVICES, LLC, AS SUCCESSOR-IN-INTEREST
TO FDS HOLDINGS, INC. AND BANK OF AMERICA MERCHANT SERVICES, LLC,

Plaintiff,

vs.

MAGNOLIA SERVICES INC, A
CALIFORNIACORPORATION, et al.,

Defendants.

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CASE

NO: 24VECV04700

[TENTATIVE]

ORDER RE: MOTION TO DISMISS ON GOUNDS OF FORUM NON CONVENIENS

Dept.

I

HEARING

DATE: July 22, 2026

TIME: 8:30 A.M.

COMPLAINT

FILED: May 12, 2026

TRIAL

DATE: Not Set

I.

BACKGROUND

On

October 1, 2024, Plaintiff First Data Merchant Services, LLC, as successor-in-interest to FDS Holdings, Inc. and Bank of America Merchant Services, LLC ("Plaintiff") filed a complaint against Magnolia Services Inc., a California Corporation dba Fidelity Roadside Services ("Magnolia Services"), Beni Jakobson ("Jakobson"), and Does 1 to 20 alleging two causes of action: (1) breach of contract; and (2) common counts.

On

March 13, 2026, Jakobson filed a motion to dismiss. On April 30, 2026, the court granted the unopposed motion to dismiss in part on grounds that the operative complaint lacked a copy of the agreement, and a publicly available copy of similar or the same rules indicated and incorporated a New York state forum selection clause. The court therefore stayed the motion for purposes of allowing Plaintiff to file an amended complaint incorporating the entire, operative agreement in support of the alleged debt, including proof of proper jurisdiction in California.

Plaintiff filed its first amended complaint on May 12, 2026.

On June 8, 2026, Beni Jakobson filed a renewed motion to dismiss. Plaintiff filed an opposition to the motion. No timely reply appears on file.

II.

LEGAL

STANDARDS

Cal. Code of Civ. Proc. § 410.30(a) provides, in pertinent part, that "[w]hen a court upon motion of a party or its own motion finds that in the interest of substantial justice an action should be heard in a forum outside this state, the court shall stay or dismiss the action in whole or in part on any conditions that may be just." (Code Civ. Proc., § 410.30, subd. (a).) Mandatory forum-selection clauses are often enforced through a motion to stay or dismiss under CCP § 410.30. (Smith, Valentino

& Smith, Inc. v. Superior Court (1976) 17 Cal.3d 491, 495-496.)

III.

DISCUSSION

Jakobson again relies on the forum selection clause whereby New York state is the identified forum for all litigation arising from the agreement.

Plaintiff in opposition cites to the order approving service by publication in Los Angeles County as proof that "Defendant would most likely be served here in Los Angeles." Plaintiff relies on Code of Civil Procedure section 395 for the premise that because the action was filed in Los Angeles County, due to the last known residence of Defendant established in Los Angeles, the filing was proper.

The agreement is properly considered as part of the operative pleading and relied upon for enforcement of the alleged debt. (DVD Copy Control Assn., Inc. v. Kaleidescape, Inc. (2009) 176 Cal.App.4th 697, 713.) Sections 43.1 and 43.2 provide in relevant part: "Choice of Law. Our Agreement shall be governed by and construed in accordance with the laws of the State of New York (without regard to its choice of law provisions). [¶] 43.2. Venue. We have substantial facilities in the State of New York and many of the services provided under this Agreement are provided from these facilities. The exclusive venue for any actions or claims arising under or related to this Agreement shall be in the appropriate state or federal court located in Suffolk County, New York." [First Amen. Comp., Ex. A: Merchant Processing Application and Agreement.]

"California favors contractual forum selection clauses so long as they are entered into freely and voluntarily, and their enforcement would not be unreasonable. [Citation.] This favorable treatment is attributed to our law's devotion to the concept of one's free right to contract, and flows from the important practical effect such contractual rights have on commerce generally." ... A mandatory forum selection clause ... is generally given effect unless enforcement would be unreasonable or unfair. (Citations.) 'Mere inconvenience or additional expense is not the test of unreasonableness ... for a mandatory forum selection clause.' A clause is reasonable if it has a logical connection with at least one of the parties

or their transaction. (Citations.)” ... [¶] “Nonetheless, ‘California courts will refuse to defer to the selected forum if to do so would substantially diminish the rights of California residents in a way that violates our state’s public policy.’ (Citations.) [¶] The party opposing enforcement of a forum selection clause ordinarily ‘bears the ‘substantial’ burden of proving why it should not be enforced.’ (Citations.) That burden, however, is reversed when the claims at issue are based on unwaivable rights created by California statutes. In that situation, the party seeking to enforce the forum selection clause bears the burden to show litigating the claims in the contractually-designated forum ‘will not diminish in any way the substantive rights afforded ... under California law.’ (Citations.)” (Verdugo v. Alliantgroup, L.P. (2015) 237 Cal.App.4th 141, 146–147.)

Other than the filing of the complaint based on the belief Jakobson resides in Los Angeles County, the opposition does not address the actual language in the agreement or standard regarding enforcement of forum selection clauses. (See Code Civ. Proc., § 395, subd. (a).) The opposition lacks any proof of waiver, and given the special appearance of Jakobson, the court finds no basis for such a finding.

The forum selection clause is otherwise undisputed. The court finds nothing unreasonable or unfair requiring a debt originating from an undisputed agreement with American Express to be adjudicated in Suffolk County, New York, as provided by the plain language of the agreement’s terms. The preferred location in Los Angeles County Superior Court based on a belief in residence and service by publication does not constitute a valid basis of opposition.

IV.

CONCLUSION

The motion to dismiss is granted. Plaintiff must comply with the terms of the forum selection clause and bring any debt collection action in Suffolk County, New York.

The Complaint is dismissed without prejudice as to Jacobson.

Moving party to give notice.

Dated: July
22, 2026

Hon. Karen Moskowitz

Judge
of the Superior Court